

PRODUCT STRATEGY CASE STUDY

Driving Growth Through Funnel Optimisation & Retention Strategy

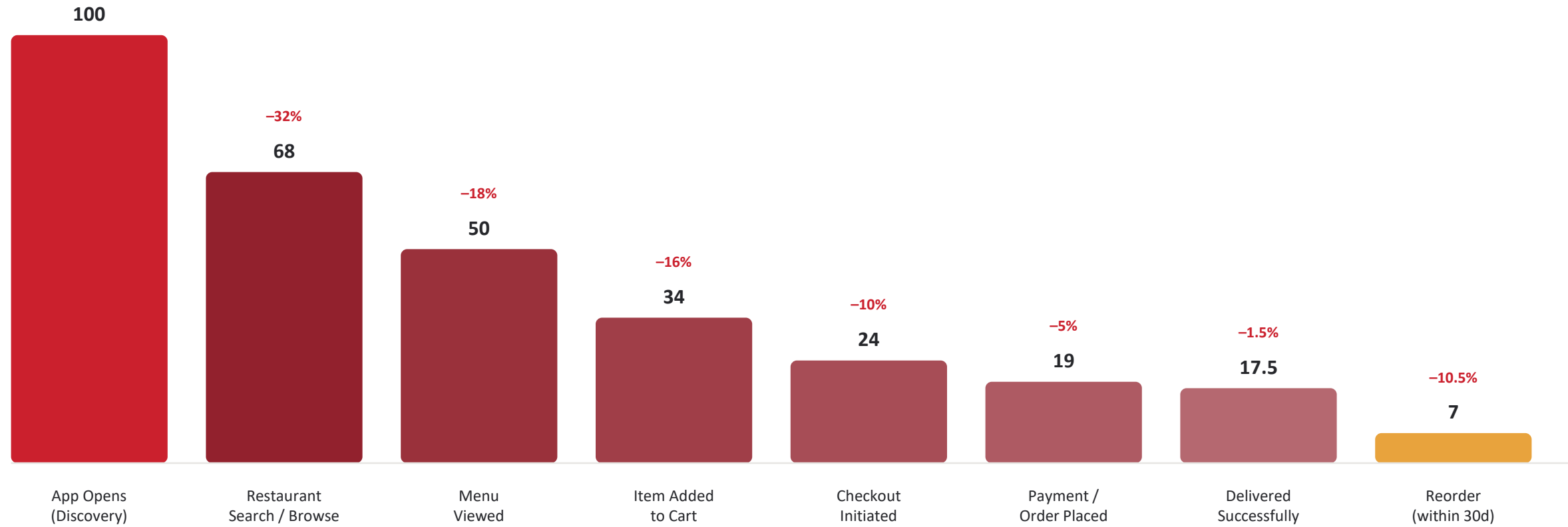
Zomato Food Delivery · Tier-1 Cities

Discovery → Order → Delivery

Prepared for: Airtribe — PM with AI | Core Project Assignment

The Discovery → Order → Delivery Funnel

Indexed to 100 users entering at Discovery — illustrative figures based on typical food-delivery benchmarks



Biggest single drop: Discovery → Browse (32%) driven by weak search relevance and generic recommendations. Second biggest: Browse → Menu (18%), largely restaurant-card fatigue.

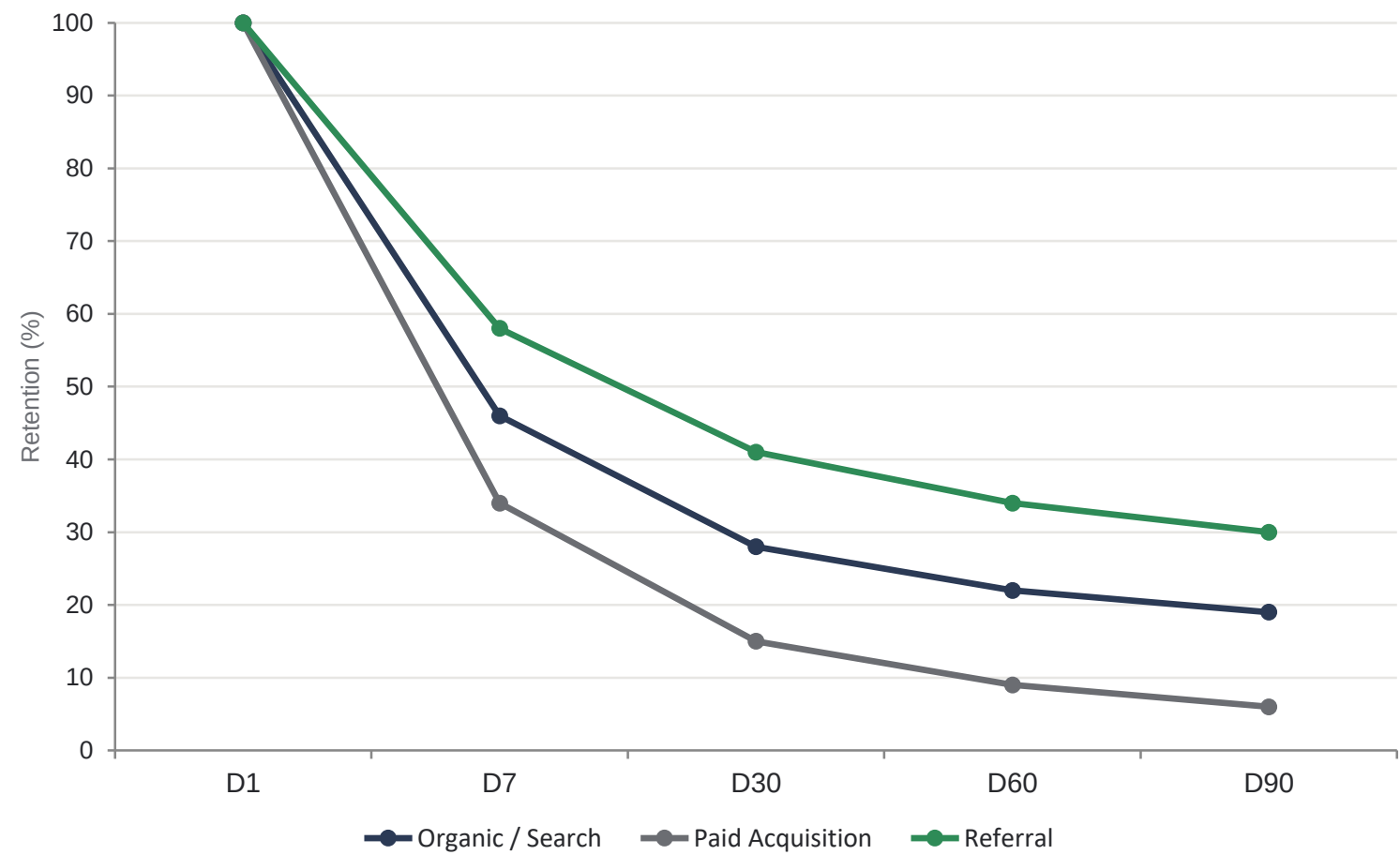
Drop-off Points & Root Causes

Where users are lost, and why

Stage	Drop-off	Likely Root Cause
Discovery → Browse	-32%	Weak search relevance; generic, non-personalized restaurant recommendations
Browse → Menu View	-18%	Restaurant-card fatigue; unclear ratings/wait-time signals slow decision-making
Menu → Cart	-16%	Menu navigation friction; no clear value cues (bestsellers, combos) to prompt adds
Cart → Checkout	-10%	Delivery fee/surge pricing revealed late, causing sticker-shock abandonment
Checkout → Payment	-5%	Payment failures, limited saved-payment options, address-selection friction
Payment → Delivered	-1.5%	Restaurant order rejection, delivery-partner unavailability, SLA breaches
Delivered → Reorder (30d)	-10.5%	No re-engagement trigger; users forget the app between occasional cravings

Retention Curves by Acquisition Channel

% of cohort still placing orders at each interval — illustrative figures



READING THE CURVES

- Referral users retain nearly 2x better than paid at D90 (30% vs 6%) — they arrive with pre-set trust from a friend, not a discount.
- Paid acquisition collapses fastest after D7 — consistent with coupon-driven, price-sensitive users who churn once the incentive ends.
- Organic sits in between — durable, but a meaningful share still drops before D30, the first-month habit-formation window.

Retention by First-Order Experience

Delivery experience on the first order strongly predicts whether a user returns

First-Order Experience	D30 Retention	Avg. Orders / 90 Days	Key Insight
Delivered on time	34%	4.2	Reliability builds habit fastest
Delivered late (<30 min)	21%	2.6	Tolerated once, not repeatedly
Delivered late (30+ min)	9%	1.1	Near-single-use; high churn risk
Order cancelled / rejected	5%	0.8	Most damaging first impression

Takeaway: Delivery reliability is not just an ops metric — it's the single strongest lever on retention we can see in this data. A late or cancelled first order predicts churn better than acquisition channel does.

Proposed North Star Metric

WEEKLY ORDERING USERS (WOU)

Number of unique users who complete at least one delivered order in a given week

WHY THIS METRIC

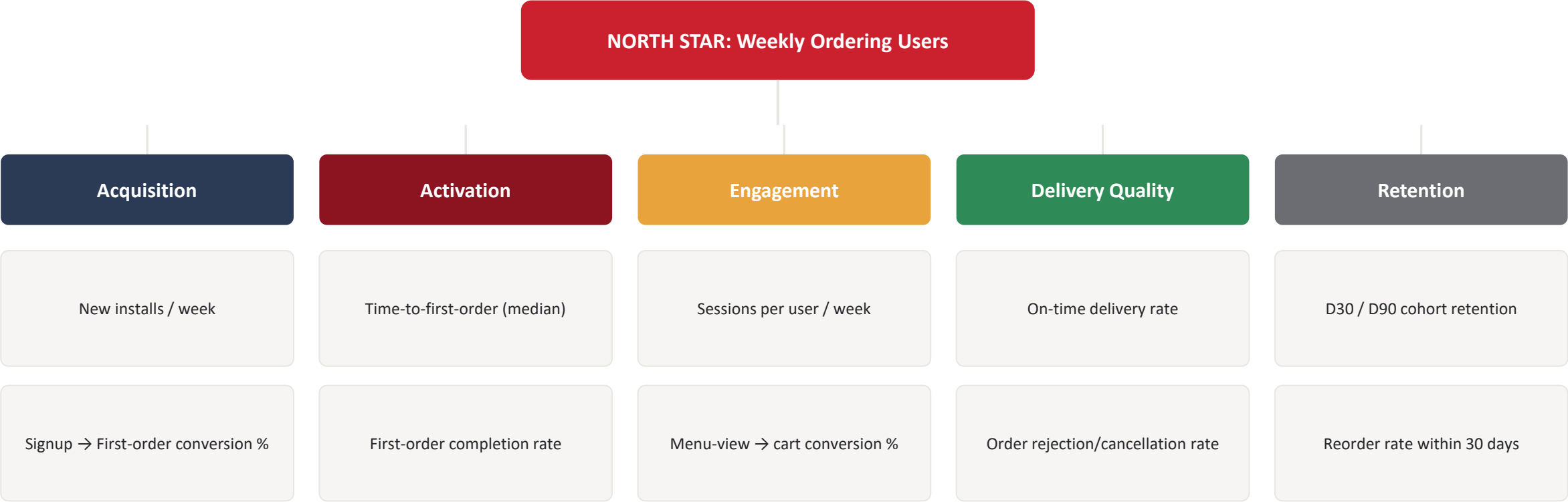
- Captures habit, not just transactions — weekly cadence reflects the ordering frequency Zomato actually needs to build
- Leading indicator of revenue — orders convert directly to GMV and delivery fees
- Cross-functional — Discovery, Menu/Search, Checkout, and Delivery Ops teams can all move this number
- Hard to game — unlike app opens or sessions, it requires a completed, delivered transaction

WHAT IT'S NOT

- Not Monthly Active Users — too broad, rewards passive browsing over real transactions
- Not GMV alone — a pure revenue metric can mask declining user counts behind rising basket sizes
- Not D30 retention alone — a cohort metric, not a live operating number teams can track weekly

Ladder Metrics

The input metrics each team can move to drive Weekly Ordering Users



Recommendations Mapped to the Funnel

Highest-leverage interventions, tied to the drop-offs identified in Part 1

Discovery → Browse

Personalize restaurant ranking using order history and time-of-day signals, not generic popularity

Cart → Checkout

Show all-in delivery cost upfront on the menu page, before cart, to remove late sticker-shock

Payment → Delivered

Set delivery-partner allocation SLAs and proactively flag at-risk orders before they breach

Delivered → Reorder

Trigger a lightweight re-engagement nudge (not a blanket discount) 5–7 days after a good delivery

Summary

32%

biggest single funnel drop-off (Discovery → Browse)

5x

gap in D90 retention between referral and paid users

WOU

the proposed North Star Metric

Strategic thread

- Funnel and cohort data point to the same root cause: delivery reliability and relevance of discovery drive both the biggest drop-offs and the biggest retention gaps.
- Weekly Ordering Users as the North Star keeps every team focused on habitual, completed transactions — not vanity engagement.
- The ladder metrics give each function (Discovery, Activation, Ops, Retention) a clear, ownable number that rolls up to that North Star.